



# The Clock, Not the Calendar

Student copy (project or hand out)

1 The old grow careful with money, and the usual explanation is that they have less heart for the gamble. The young chase the volatile stock; the old retreat into the safe bond; the spirit cools as the body does. There is real ground here, and it would be careless to wave it away. Portfolio studies do find that the share of stocks an investor holds falls with age while the share of bonds rises, and the pattern holds across different cohorts and different markets, which suggests something steadier than a passing mood (Ameriks and Zeldes, NBER 2004; Poterba and Samwick, 2001). The conventional reading takes this curve as a kind of slow forfeit of nerve.

2 It is a tempting story because it flatters the young and consoles the old, and because it fits a feeling everyone has had. But the curve is not a record of fading nerve; it is a record of arithmetic. A sixty-five-year-old American has roughly twenty years of remaining life expectancy; an eighty-five-year-old has roughly six (Social Security Administration, 2024; CDC life tables). Twenty years is enough time to ride out a crash and earn the loss back. Six years is not. A person who buys the safer bond at eighty-five has not lost the appetite for risk so much as run out of the one resource that makes risk survivable, which is time.

3 Notice what this does to the word careful. We had been using it to mean timid, a smallness of character. On the new reading it means something nearer to numerate: a clear-eyed estimate of how long is left to recover from a fall. Loss aversion itself does not deepen with age. The finding that losses weigh about twice as heavily as equal gains is one of the most replicated results in the study of decision-making, and it shows up at every age, in the young as much as the old (Kahneman and Tversky, 1979). What changes is not how much a loss stings. It is how much room remains to undo one.

4 If this were really a story about age, age itself would have to be doing the work, and it is not. The neater proof is a cruel little experiment. Put young adults in a laboratory, shorten their sense of how much time they have left, change nothing else, and their taste for the risky bet drops too (Kuhnen and Samanez-Larkin, 2015). The horizon moved; the birth date did not. Carstensen's work on how a shrinking sense of time reshapes what people want points the same way: when the runway looks short, goals contract toward the sure thing (Carstensen, Science, 2006). It is the clock that governs us here, not the calendar.

5 None of this makes the picture tidy. Wealth muddies it badly: high-income older adults often keep aggressive portfolios while poorer ones turn sharply cautious, which means money and security, not years, may be doing much of the steering (Ameriks and Zeldes, 2004; Carroll, 2000). And a generation that lived through a crash carries the fear forward for decades, so history leaves its own thumbprint on nerve (Malmendier and Nagel, 2011). The economists publish in journals most of us will never open. What

survives the qualifications is a smaller, stranger thought, and it is not really about the old at all. We treat the caution of age as something that happens to other people, later. It is only the visible end of a sum every one of us is already doing, mostly without looking, every time we guess at how much time is left.

### **AP-style multiple choice:**

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1. The relationship between the first paragraph and the second paragraph is best described as one in which the writer first
  - A) presents statistical evidence and then concedes that the evidence is unreliable
  - B) states a personal opinion and then supports it with expert testimony
  - C) raises a popular belief in order to mock it and then dismisses it outright
  - D) lays out the conventional explanation fairly and then replaces its cause with a different one
2. In the third paragraph, the writer's reexamination of the word "careful" serves primarily to
  - A) reframe a trait read as weakness of character into a rational calculation
  - B) concede that the conventional critics were right to call older investors timid
  - C) soften the argument by admitting the key term cannot be defined precisely
  - D) introduce a new statistic about how loss aversion grows over a lifetime

### **Discussion questions:**

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1. The writer spends the entire first paragraph granting the conventional explanation real evidence before turning against it in the second. How does conceding the other side so fully change the way the reframing lands?
2. The piece argues that perceived time remaining, not chronological age, drives the shift toward caution. Which single piece of evidence in the essay does the most work to support that claim, and why is it more persuasive than the others?

### **Writing prompt (Homework or extended in-class, Q3 argument):**

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The writer argues that what looks like the timidity of age is better understood as a rational response to shrinking time, and closes by suggesting that all of us are quietly making the same calculation about how much time is left. Defend, challenge, or qualify the claim that behavior we tend to attribute to a person's age or character is better explained by the constraints they actually face. Use your own knowledge, observation, or reading to develop your position.